27 Tamsin buys a house with a value of £150 000
The value of Tamsin's house increases by 4% each year.

Rachel buys a house with a value of £160 000
The value of Rachel's house increases by 1.5% each year.

At the end of 2 years, whose house has the greater value?
You must show how you get your answer.

(Total for Question 27 is 4 marks)